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H. Logistics and Infrastructure

Generally a good transportation, storage, handling and information infrastructure helps in efficient logistics management. In India most of the transportation happens through road and rail. Pipeline and Water transport are to be fully utilized further. Air transportation is used for high value commodities. In transportation infrastructure the following framework can be used to identify the problem areas like Right of way, Vehicle, Motive power, Terminals, Operations/systems.

I. Logistics Management to Supply Chain Management

Logistics Management deals with the efficient management of a static gap between demand and supply whereas Supply Chain Management tries to identify the dynamic nature of the value creation itself such as responsiveness, quality and design. Hence, it aims for an effective management response over the longer run.SCM focuses on profit maximization rather than cost minimization. LM activity is supply driven and SCM is more demand driven.

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16.04 OUTSOURCING

A. Meaning of Outsourcing

Recently a new type of business in service sector has become popular in the world. It is called the Business Process Outsourcing (BPO). BPO refers to outsourcing the work which is routine in nature, to an outside agency. This practice was initiated in United States of America in few companies. The routine work of a company if outsources the company concentrate on critical issues without wasting time on routing job. In later years it became popular in other countries also. For example designing an advertisement, after sales service, maintance of accounts etc. can be outsourced.

The companies must identify their core competence and concentrate on that function and outsource all other routine function to outside agencies, who are specialized in those functions.



B. Features of Outsourcing

1. Transferring Non Core Activities to Outsiders

Companies can outsource those non core activities functions like maintenance, housekeeping, gardening, etc. to outsiders, depending upon the nature of the business and the activities are identified as core or non core activities.